

In the words of Richard Driehaus, “The stock market is like a woman. You observe her. You respond to her. And you respect her.”⁷ That is not as easy as it sounds. Just ask my ex-wife.

Dual momentum gives one the framework for accomplishing this. It has helped me to respond appropriately and confidently to market forces, and it can help you do the same. In the words of Victor Hugo, “The future has many names. For the weak, it means the unattainable. For the fearful, it means the unknown. For the courageous, it means opportunity.” I wish you all the best on your own dual momentum-based journey.

ALL ABOARD!

Momentum is like being on an express train bound for the riches of Golconda. On this journey, our main rolling stock is the *Equities Special*. If it is passed by a faster-moving train, we hop on over to keep moving forward as quickly as possible. Occasionally, all equity trains come to a stop and go into reverse. When that happens, we’re going to ride with old Railroad “Treasury” Bill, who moves along slow and steady. Once the *Equities Special* gets moving along nicely again, we return to it, settle back down, and enjoy the rewarding ride.

On our pleasant journey, we swiftly pass the *Lake Wobegon Flyer*, actively engineered by former mutual fund managers who all think they are better than each other. We speed by the *Buy and Behold Line*, with its efficient conductor who randomly walks around shouting, “Damn the torpedoes, full speed ahead!” That would be appropriate if he were conducting a smooth-sailing ship, but he has to instead traverse the ups and downs of many hills and valleys, which can cause passenger distress.

We pass a trainyard full of expensive, hedged wrecks and long/short conveyances going around and around in silly circles, getting nowhere fast. With not so much to power it now, the *Commodities Caboose* falls far behind after some bumpy rides hither and yon. We pass the *Managed Futures Limited* that just ran out of steam, and there lies the steel-drivin’ man, John Henry, along with Casey “Tudor” Jones.